UNITED STATES BANKRUPTCY COURT FOR THE DISTRICT OF MARYLAND
Baltimore Division

In re:	)	
Swain Landing LaPlata JC, LLC	)	
Debtor.	)	
	)	Case No. 25-184-ELG
Claudia Engelhorn, et al.	)	
Plaintiffs,	)	Adv. Pro. No. 25-00159
v.	)	
Erik D. Bolog, et al.	)	
Defendants.	)	

MEMORANDUM IN SUPPORT OF MOTION FOR ABSTENTION AND REMAND

Plaintiffs/Counter-Defendants, Claudia Engelhorn, Individually, and as Trustee of the Whitewater Revocable Trust dated September 30, 2021, as amended, and White Pearl, LLC (collectively "Movants"), by and through their undersigned counsel, submit this memorandum in support of their Motion for Abstention and Remand (collectively, the "Motion"), and respectfully states as follows:

INTRODUCTION

In 2024, Plaintiffs filed a twenty-count complaint for damages and other relief based principally on claims of legal malpractice (a tort) and fraud (a tort) in the Circuit Court for Baltimore City, Maryland, designated as Case No.: C-24-cv-24-002631 (the "Civil Action"). A copy of the operative Second Amended Complaint is attached hereto as Exhibit A. The Debtor, Swain Landing LaPlata JC, LLC, is a named party in only three of the twenty counts (Counts XI, XIII and XIV) which seek narrow relief for the imposition of a constructive trust over assets and dissolution of Swain Landing (which is purportedly 50% owned by one of the Movants).

On May 15, 2025, the Debtor, without requisite membership approval and legal authority, filed a petition for relief under subchapter V of the Bankruptcy Code in the District of Columbia (the

"DC Bankruptcy Proceeding") designated as Case Number 25-184-ELG (the "DC Bankruptcy Case").

On May 5, 2025, the Debtor, without membership approval or authority, filed this adversary proceeding (Adv. Proc. No.: 25-00159, the "Adversary Proceeding"). The Adversary Proceeding attached a copy of the Complaint and filed a separate notice of removal. On June 10, 2025, this Court removed the Complaint. On June 10, 2025, the Debtor filed a motion to transfer the Adversary Proceeding to the DC Bankruptcy Proceeding (DE 3). Movants have objected to the motion to transfer, which is scheduled for hearing on August 4, 2025. Movants have filed this pleading seeking abstention and remand of the Complaint to the Circuit Court, which is justified for several reasons.

As an initial matter, abstention and remand are appropriate because the Adversary Proceeding was filed and removal requested without the requisite corporate authority. There is no dispute that Movant Engelhorn's Trust, the Whitewater Revocable Trust dated September 30, 2021, as amended ("the Trust"), is alleged by the Debtor to be a 50% member of the Debtor. It is also undisputed that Ms. Engelhorn, as trustee, never authorized the filing of the DC Bankruptcy Proceeding, nor the filing of this Adversary Proceeding. Similarly, this Adversary Proceeding is not connected to the underlying bankruptcy case in this District. As such, there was not appropriate jurisdiction to remove the Complaint and this Court should remand it and, ultimately, dismiss it.

Pursuant to 28 U.S.C. § 1334(c)(2), abstention (mandatory and permissive) is proper for several additional reasons. Similarly, the interests of justice permit the Court to abstain from hearing the Civil Action under 28 U.S.C. § 1334(c)(1), and the Court should remand the case pursuant to 28 U.S.C. § 1452(b). These reasons include the following.

First, the Debtor is named in only three of the twenty counts of the Complaint. Moreover, this action is currently stayed against the Debtor by virtue of the automatic stay that arose upon the filing of the DC Bankruptcy Case. By virtue of the automatic stay, there is no reason to retain or transfer an action that arises principally from Maryland common law tort claims against other Defendants. Moreover, Plaintiffs' claims in the Civil Action do not arise under the Bankruptcy Code or in a case

under the Bankruptcy Code. Instead, the claims arise under Maryland law, relate to pre-petition misconduct of the Defendants, and exist independently of the DC Bankruptcy Proceeding.

Second, abstention and remand are warranted because the underlying Civil Litigation is based upon state law claims that are particularly well-suited for adjudication by the Circuit Court. In fact, the Circuit Court has adjudicated several matters in the case, ruling in favor of Movants on all material matters. As such, the removal and the requested transfer by the Debtor appear to be nothing more than thinly veiled and improper forum shopping by the Debtor.

Third, in view of the bankruptcy automatic stay and bankruptcy claims process in the DC Bankruptcy Case, removal and/or transfer appear intended to benefit the other defendants who are not co-debtors in bankruptcy.

Fourth, Movants will not consent to entry of a final order by any Bankruptcy Court and are entitled to a jury trial. As such, the matter would need to be transferred at some point, if not initially, to a federal District Court. However, this action would otherwise have been unremovable under 28 U.S.C. § 1441(b)(2), and so there is no basis for federal jurisdiction for a District Court to hear the matter.

For these and other reasons, Movants respectfully request that the court abstain from taking the Complaint and remanding it back to the Circuit Court.

BACKGROUND

This Civil Action arises from the conduct of Erik D. Bolog ("Mr. Bolog"), who was Claudia Engelhorn's former attorney, trustee, confidant, advisor, and friend. It is alleged that while Mr. Bolog was employed by Whiteford, Taylor & Preston, LLP ("WTP") and acting within the course and scope of his employment with WTP engaged in multiple instances of intentional misconduct wherein he used the Plaintiffs' assets to enrich himself, his business ventures, and enrich his friends, and billed the Plaintiffs for his and other WTP employees' time in engaging in said misconduct. Once Mr. Bolog's misconduct was highlighted to WTP's management, they conducted an investigation into Mr. Bolog's actions, uncovered misconduct, and terminated him.

It is alleged that Defendants Bolog and Postal are long-term friends and business associates. Ms. Engelhorn sold a property and deposited the funds into a bank account belonging to White Pearl, LLC, an entity that Ms. Engelhorn owned and controlled. That Mr. Bolog and Mr. Postal arranged for White Pearl's bank to wire $585,000 into an account belonging to Swain Landing. Bolog neither obtained anything of value in return for White Pearl, LLC, such as stock or debt security, nor any instrument securing White Pearl, LLC's right to repayment in exchange for this $585,000 payment to Defendant Swain Landing, and he covered up, concealed, and failed to disclose his interest in this company and/or his connection to its members before authorizing the transaction, contrary to his ethical and fiduciary duties.

As a result of this alleged conduct, the Plaintiffs have asserted various causes of action against the Defendants. However, with respect to Debtor Swain Landing, Plaintiff White Pearl, LLC has asserted the following causes of action: Constructive Trust for $585,000 (Count XI); Dissolution of Swain Landing per Corps. & Assoc. 4A-903, et seq. (Count XIII); and Equitable Dissolution of Swain Landing under common law (Count XIV). These three causes of action will be referred to collectively as the "Swain Claims."

The Second Amended Complaint also alleges claims against other defendants, where said defendants' conduct in relation to the Swain Landing embezzlement forms the basis of a cause of action, to which Swain Landing itself is not a party. These will be referred to collectively as the "Swain Adjacent Claims." Finally, the remaining thirteen causes of action in the Second Amended Complaint have no connection to Swain Landing whatsoever. These will be referred to collectively as the "Unrelated Claims."

Thereafter, on March 24, 2025, Defendants Bolog, Science Park Associates, LLC, and Darnestown Road, Inc., filed Counterclaims against Ms. Engelhorn and the Whitewater Trust. Exhibit B. The Counter-Plaintiffs assert claims for Defamation, Abuse of Process, Indemnification, and Breach of Contract. Creditor White Pearl, LLC, is not a party to any of the Counterclaims. Debtor Swain Landing is likewise not a party to the Counterclaims. These will be referred to

collectively as the "Counterclaims." The Unrelated Claims, the Swain Adjacent Claims, and the Counterclaims will be referred to collectively as the "Non-Swain Claims."

ARGUMENT

As set forth more fully below, this Honorable Court should remand all claims, or at least the Non-Swain Claims, back to the State Court. First, the Non-Swain Claims are non-core proceedings under 28 U.S.C. § 157 with a tenuous, if any, relationship to the Chapter 11 Subchapter V case. Second, the Court is required to abstain from hearing and determining the Non-Swain Claims because all of the requirements for mandatory abstention under 28 U.S.C. § 1334(c)(2) are satisfied. Third, pursuant to 28 U.S.C. § 1334(c)(1), the Court should abstain from hearing and determining all of the claims, and the Court should remand the proceeding to the State Court under 28 U.S.C. § 1452(b).

I. The Civil Action Is A Non-Core Proceeding.

This Honorable Court may only hear and determine the Non-Swain Claims if subject matter jurisdiction exists pursuant to 28 U.S.C. § 1334. *Valley Historic Ltd. P'ship v. Bank of New York*, 486 F.3d 831, 839 (4th Cir. 2007). A bankruptcy court derives its jurisdiction from the jurisdiction of the district court and may "hear and determine all cases under title 11 and all core proceedings arising under title 11, or arising in a case under title 11 . . . and may enter appropriate orders and judgments" in such cases and proceedings. 28 U.S.C. § 157(b). "Core proceedings" are proceedings that either arise under the Bankruptcy Code or arise in a case under the Bankruptcy Code.

A. The Non-Swain Claims do not arise under Title 11.

A proceeding does not arise under the Bankruptcy Code for jurisdictional purposes unless it involves a cause of action "created or determined" by a provision of the Bankruptcy Code. None of the Claims were created by the Bankruptcy Code. Rather, the Non-Debtor Parties seek judgments against each other for allegedly improper behavior, breaches of duty, etc. The Claims arise solely under State law and will be determined solely by application of State law. *See In re Merry-Go-Round Enterprises, Inc.*, 222 B.R. 254, 258 (D. Md. 1998) (affirming remand of legal malpractice action, finding that the state law questions regarding legal malpractice and fraud were not "mundane").

B. The Non-Swain Claims do not arise in a case under Title 11.

A proceeding involving a cause of action that would exist irrespective of whether a bankruptcy petition was filed does not arise in a case under the Bankruptcy Code. *Valley Historic L.P.*, 486 F.3d at 836. Indeed, Plaintiffs filed their various claims, including the Swain Claims, before Swain Landing filed for bankruptcy, and so they would exist regardless of whether the Debtor subsequently filed a bankruptcy petition. Therefore, none of the Claims arose in a case under the Bankruptcy Code.

II. 28 U.S.C. § 1334(c)(2) Requires This Honorable Court To Abstain From Hearing the Non-Swain Claims.

This Honorable Court must abstain from hearing a proceeding that (i) is based on state law causes of action, (ii) relates to a bankruptcy case but is not a core proceeding, (iii) could not have been commenced in federal court absent the debtor's bankruptcy filing and (iv) was commenced and can be timely adjudicated in a state court of appropriate jurisdiction. *See* 28 U.S.C. § 1334(c)(2); *In re Porter-Hayden Co.*, 304 B.R. 725, 735 (Bankr. D. Md. 2004).

The Non-Swain Claims are based solely on state law causes of action and, at best, only the Swain Adjacent Claims "relate to" the DC Bankruptcy Proceeding, but, as set forth above, they are not core proceedings. Each requirement of 28 U.S.C. § 1334(c)(2) is satisfied. This Court must abstain from hearing and determining the Civil Action.

III. Under 28 U.S.C. § 1334(c)(1), the Court Should Abstain From Hearing All Claims, But At a Minimum the Non-Swain Claims, and Remand This Matter to the State Court.

In the unlikely event this Honorable Court determines that the state law Non-Swain Claims constitute a "core" proceeding under 28 U.S.C. § 157(b), and do not fall under the mandatory abstention provision contained in 28 U.S.C. § 1334(c)(2), the Court should abstain from hearing the entirety Civil Action and remand the case back to the State Court under 28 U.S.C. § 1452(b). Section 1452(b) provides, "[t]he court to which such claim or cause of action is removed may remand such claim or cause of action on any equitable ground." 28 U.S.C. § 1452(b).

A. Permissive Abstention

To determine whether permissive abstention is appropriate, the Court considers the factors articulated in *In re Porter-Hayden Co.*, 304 B.R. at 735, including: efficiency in the administration of the debtor's estate; the extent to which state law issues predominate over bankruptcy issues; whether the issues involve difficult or unsettled questions of state law; the existence of a jurisdictional basis for federal jurisdiction apart from the debtor's bankruptcy filing; the degree of relatedness or remoteness of the proceeding to the main bankruptcy case; the likelihood that the commencement of the proceeding in federal court involves forum-shopping by one of the parties; the existence of a right to jury trial; and whether non-debtor parties are involved in the proceeding. These factors strongly favor this Court's abstention from hearing and determining the Civil Action.

Efficiency in the administration of the debtor's estate. The Non-Swain Claims asserted against the Defendants in the Civil Action have nothing to do with the administration of the Debtor's estate and therefore will not affect the efficiency of the administration of that estate. If the non-Debtor Defendants are found liable, they will each be required to satisfy a judgment in favor of the Plaintiffs. Additionally, the Swain Claims in the Civil Action are stayed, and so abstention will not impair the administration of the estate. This factor supports abstention by this Court.

The extent to which state law issues predominate over bankruptcy issues. This factor heavily militates in favor of the Court abstaining from hearing the claims asserted in the Civil Action. There are no bankruptcy issues in the Civil Action whatsoever. The state common law claims of negligence, fraud, constructive trust, etc., are the centerpiece of this litigation. State courts have "particular expertise" to decide the state law questions that predominate in the Civil Action. *See Patterson v. Morris*, 337 B.R. 82, 98 (E.D. La. 2006).

The presence of a related proceeding commenced in state court. There is currently no State Court action pending because the Defendants removed to this Court all state law claims asserted against them by the Plaintiffs. This factor weighs neither for nor against abstention.

The existence of a jurisdictional basis for federal jurisdiction apart from the debtor's bankruptcy filing. There is no conceivable basis for federal jurisdiction of the Civil Action other

than the Debtor's filing of the DC Bankruptcy Proceeding and the Debtor's mistaken assertion that the entirety of the Civil Action is "related to" Swain Landing's bankruptcy proceeding. The state law claims asserted by Plaintiffs against the Defendants do not invoke federal question jurisdiction under 28 U.S.C. § 1331. Moreover, the majority of the Defendants are either Maryland residents, business entities organized under Maryland law, and/or that have their principal place of business in Maryland, or they are Maryland Trusts. This factor heavily favors abstention.

The likelihood of forum shopping. There is a substantial likelihood that forum shopping was involved in the removal of the Civil Action to this Court. The Debtor, an assetless Maryland entity, which does not seem to have engaged in any business whatsoever in years, initiated the DC Bankruptcy Proceeding and removed the Civil Action solely to delay the Plaintiffs from presenting their claims against the Debtor's principal and his friends. This factor heavily favors abstention.

The existence of a right to jury trial. Plaintiffs requested a jury trial, and the Counter-Plaintiffs requested a jury trial on their Counterclaims. A right to trial by jury exists in this case and, as a result, favors abstention. While not all of the Plaintiffs' claims would be subject to a jury trial, i.e., declaratory judgment, the overwhelming majority are.

Whether non-debtor parties are involved in the proceeding. The Civil Action consists overwhelmingly of Non-Swain Claims by and between non-Debtor parties. This factor supports abstention. This Honorable Court "has no hesitation granting motions for abstention in appropriate cases." *In re Sasscer*, 06-13476PM, 2007 WL 3071432, at *5 (Bankr. D. Md. Oct. 17, 2007). Based on the above analysis and in light of the overwhelming presence of state law questions, abstention is appropriate in this case.

B. Equitable Remand

The Court considers the following factors when determining whether equitable remand is appropriate: the effect on the efficient administration of the bankruptcy estate; the extent to which issues of state law predominate; the difficulty or unsettled nature of applicable state law; comity; the degree of relatedness or remoteness to the proceeding in the main bankruptcy; the existence of the

right to a jury trial; and prejudice to the involuntarily removed defendants. *In re Railworks Corp.*, 345 B.R. 529, 540 (Bankr. D. Md. 2006).

Factor four (comity) strongly favors remand and is at the heart of both permissive abstention and equitable remand. Comity is the principle under which the federal courts (as a courtesy) should defer to state courts when such deference is appropriate. Here, deference to the State Court is entirely appropriate given that, but for the filing of the DC Bankruptcy Proceeding, the Civil Action would not have been subject to removal.

Finally, factor seven (prejudice to the removed parties) favors remand. Plaintiffs are prejudiced by the fact that removal of the Civil Action will deprive Plaintiffs of their chosen forum – the State Court. Moreover, the Plaintiffs will suffer prejudice in the form of needless delay and added expense, as the Debtor and the Bolog Defendants seek to move this matter from court to court while they shop for a sympathetic forum. In contrast, the Defendants will face no prejudice if remand is granted.

CONCLUSION

The Plaintiffs do not consent to the entry of a final order or judgment by the Bankruptcy Court. This Honorable Court must remand the Civil Action to the State Court, or at a minimum, remand the Non-Swain Claims. The Non-Swain Claims are non-core proceedings and only involve issues of State law, which the State Court is best suited to resolve. Even if this Court determines that it has jurisdiction to hear and determine the stayed Swain Claims, this Honorable Court should exercise permissive abstention and/or equitable remand and return the entire Civil Action to the State Court. At an absolute minimum, the Non-Swain Claims justify permissive abstention and equitable remand.

July 10, 2025

Respectfully submitted:

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 10th day of July, 2025, a copy of the foregoing was sent via CM-ECF on the following:

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